

were Ardeshir Dalal, Kasturbha Lal bhai, Ardeshir Darabshaw Shroff, Sir Purshottamdas Thakurdas and John Mathai. Two among them— Ardeshir Darabshaw Shroff and Sir Purshottamdas Thakurdas were the member of the NCP of the Congress. The attitude of Indian industrialists to the economic structure of independent India was encapsulated in the Plan. This plan too visualised far-reaching land reforms, a large public sector and massive public and private investment. It laid great emphasis on public investment in social and economic infrastructure, in both rural and urban areas, importance of agrarian reforms and agricultural research, setting up educational institutions and a modern financial system. The views of the Indian business were, by this stage, closely aligned with those of the Indian National Congress. The Plan therefore contained a strong endorsement of state economic intervention and planning.

The Plan represented a turning point in the history of Indian business. It marked the institutionalisation of a long relationship between business and nationalist leadership as well as a historic moment when business groups, for the first time, unhesitatingly aligned themselves with nationalist aspirations. Underlying the Bombay Plan was the idea of a close partnership between business and the State. It anticipated in real sense the Five-Year Plans and the industrial policies of the future Congress governments in independent India.

Check Your Progress 4

- 1) Do you think that the goal of self-reliant economic development sought by Indian National Movement was the driving force for industrialisation in post-independent India? Give reasons.

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- 2) What was the broad consensus on national development at the time of independence that guided the state efforts in the post-independence period?

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1.8 LET US SUM UP

British rule drastically transformed India. Although there were several positive developments for the society and economy in the colonial period, but they did not support a development process to modernise the economy and place it on the path of sustainable progress. The colonial relationship subordinated India to British political and economic interests. It stimulated Indian economic development in some way and inhibited in it in other ways.

The peace and law and order established by the Mughals in a large part of India had helped the economy of the empire. There was steady growth of commerce and manufacture and of urbanisation. There was a substantial increase in both inland and foreign trade.

In the 18th century the subcontinent was a major commercial hub of the world economy. At the beginning of the British rule in mid-18th century, India supplied quarter of all manufacture goods to the world markets and Indian handicrafts constituted a major export item along with spices for European trade.

Colonial rule laid the foundation of a new economy based on peasant exports and dependence on global industrial enterprise. India became a major market for British manufactures, the big source for raw materials and food, and an important region for the investment of British capital. It resulted in a stagnant agriculture, a limited modern industry but with stunted growth, the pauperisation of the people, especially the peasantry and the artisans.

The response to the colonial rule was Indian national movement for independence, which represented the interests of the different classes and strata of Indian society. It sought an independent self-reliant economic development as a common goal for the people of India. A broad consensus evolved in the decade preceding independence which laid the path to be followed for national development.

1.9 KEY WORDS

Bombay Plan	: A joint proposal by a section of the big industrialists in 1944 for setting up a planned economy in the country. The Bombay Plan wanted the state to take major initiatives in industrial and other economic investments.
Drain of Wealth	: The Drain of Wealth theory was systemically initiated by Dadabhai Naoroji in 1867. It depicts the constant flow of wealth from India to England for which India did not get an adequate economic, commercial or material return.
Fiscal Policy	: Fiscal policy is the use of government spending and taxation power to influence a country's economy.
Macroeconomic Policy	: Macroeconomic policy is concerned with the attempts of policymakers to influence the behaviour of such macroeconomic aggregates in order to improve the overall performance of the economy.
Mercantilism	: An economic policy that is designed to maximise the exports and minimise the imports for ensuring national prosperity.
Pauperisation	: The process of making a person or group very poor; impoverishment.
Regressive Tax	: A regressive tax is a tax imposed in such a manner that the tax rate decreases as the amount subject to taxation increases.

1.10 TERM-END EXERCISES

- 1) Discuss the role of the colonial state in underdevelopment of Indian economy.
- 2) Analyse the causes for the stagnation of agriculture during the British rule.
- 3) Discuss the reasons for ‘stunted’ growth of modern industries in India during the British rule.
- 4) Discuss the attitude of Indian capitalist class towards the Indian National Movement.
- 5) Discuss how ‘Bombay Plan’ was instrumental in evolving the Indian economic policy in terms of introducing land reform, dominant role of public sector, great emphasis on public investment in social and economic infrastructure, etc.

1.11 REFERENCES

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1.12 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See Sub-section 1.3.1